SAP SE — Equity Research Report

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Analyst: Student Finance Portfolio | Date: March 2026 | Data: Yahoo Finance / yfinance | Tools: Python, Excel

FINAL RECOMMENDATION

BUY

€147.02	€209.74	+42.7%	0.909	7.3%	€171.6B
Market Price	DCF Fair Value	Upside Potential	Beta (vs DAX)	WACC	Market Cap

Executive Summary

This report presents a comprehensive equity analysis of **SAP SE (SAP.DE)**, Europe's largest software company, applying all core managerial finance frameworks from Gitman's *Principles of Managerial Finance* (Ch. 1-11, 13). Using real financial data sourced via Yahoo Finance, we conduct ratio analysis, pro forma forecasting, bond and stock valuation, CAPM/WACC estimation, capital budgeting, and a full DCF valuation. Our analysis concludes SAP is currently **undervalued** with a 12-month price target of **€172** and a **BUY recommendation**.

Financial Performance

Metric	2022	2023	2024	2025
Revenue (€M)	29,519	31,207	34,176	36,800
Gross Profit (€M)	21,482	22,534	24,932	26,814
Net Income (€M)	2,284	6,139	3,124	7,161
Free Cash Flow	4,770	5,461	4,410	8,417
Gross Margin %	72.8%	72.2%	73.0%	72.9%
Net Margin %	7.7%	19.7%	9.1%	19.5%
Debt-to-Equity	32.6%	20.4%	23.4%	16.8%
ROE %	5.7%	14.2%	6.9%	16.1%

Key insight: Revenue grew 24% over 4 years with gross margin stable above 72% – hallmark of a high-quality software business. The 2024 net margin dip (9.1%) reflects a one-off €2.2B restructuring charge, not structural weakness. Free cash flow surged to €8.4B in 2025 — the strongest in 4 years.

Pro Forma Forecast

Metric	2025A	2026F	2027F	2028F
Revenue (€M)	36,800	39,744	42,923	46,357
Gross Profit (€M)	26,814	28,973	31,291	33,795
Net Income (€M)	7,161	7,750	8,370	9,040
Free Cash Flow	8,417	8,895	9,606	10,375
Revenue Growth	—	8.0%	8.0%	8.0%

Assumption: 8% annual revenue growth based on SAP's 2022-2025 CAGR of 7.6%. Gross margin held constant at 72.9%. Net margin normalized at 19.5% excluding the 2024 restructuring charge.

Risk & Return Analysis

CAPM Inputs	Value	WACC Components	Value
Risk-Free Rate (Bund)	2.50%	Cost of Equity	7.50%
Beta (DAX regression)	0.909	Cost of Debt (post-tax)	2.63%
Market Risk Premium	5.50%	Equity Weight	95.8%
CAPM Required Return	7.50%	Debt Weight	4.2%
		WACC	**7.30%**

Beta of 0.909 confirms SAP moves less than the broader market — a defensive, lower-risk investment. WACC of 7.3% is used as the discount rate throughout the DCF valuation.

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Valuation Summary

Method	Chapter	Intrinsic Value	Market Price	Signal
Dividend Discount Model (DDM)	Ch.7	€212.00	€147.02	UNDERVALUED
P/E Relative Valuation	Ch.7	€171.36	€147.02	UNDERVALUED
Price-to-Book	Ch.7	€133.35	€147.02	OVERVALUED
DCF Valuation (5-year)	Ch.13	€209.74	€147.02	UNDERVALUED
Average Fair Value	**—**	**€181.61**	**€147.02**	UNDERVALUED

3 out of 4 methods indicate SAP is undervalued. The P/B method shows slight overvaluation, reflecting SAP's premium intangible assets (software IP, brand) not fully captured in book value. The DCF and DDM — the most rigorous methods — both suggest significant upside.

Capital Budgeting — Cloud Expansion

Parameter	Value	Metric	Result
Initial Investment	€500M	NPV	€34.8M
Project Life	7 years	IRR	9.02%
Discount Rate (WACC)	7.3%	Payback Period	4.2 years
Salvage Value	€50M	Profitability Index	1.07x
Tax Rate	25%	Decision	ACCEPT

IRR of 9.02% exceeds WACC of 7.3% — the project creates shareholder value. Positive NPV of €34.8M with payback under 5 years confirms this is a value-accretive investment, consistent with SAP's cloud growth strategy.

Time Value of Money Illustration

€10,000 invested in SAP today	**vs. Savings Account**	**Equity premium**
At 12% expected annual return	At 2.5% annual interest	Additional wealth created
Value in 10 years: **€31,058**	Value in 10 years: **€12,801**	**+€18,257 (3.1x more)**

Investment Verdict & Price Target

BUY — 12-Month Price Target: €172

SAP SE represents a compelling investment opportunity at current levels. Our multi-method valuation yields an average fair value of **€181.61**, implying **+23.5% upside** from the current price of €147.02. The DCF model, using a conservative WACC of 7.3% and terminal growth of 3%, yields an intrinsic value of **€209.74 per share**.

Bull case: Cloud transition accelerates, margins expand to 22%+, price target €240.
Base case: 8% revenue growth, stable margins, price target €172.
Bear case: Growth slows to 4%, restructuring costs persist, price target €130.

Key risks: EUR/USD currency exposure, intense competition from Microsoft and Oracle, integration risk from M&A; activity.

This report was produced as part of a personal finance portfolio project applying Gitman's Principles of Managerial Finance (Ch.1-11, 13). All data sourced from Yahoo Finance. For educational purposes only – not investment advice.

Tools: Python | pandas | yfinance | matplotlib | Excel Models: DCF | CAPM | WACC | DDM | NPV/IRR | Ratio Analysis